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Illustration 10

From the following particulars presented by Thilak for the year ended 31st March, 2017, prepare profit and loss account.

Particulars	`	Particulars	`
Gross profit	1,00,000	Interest received	6,000
Rent paid	22,000	Bad debts	2,000
Salaries	10,000	Provision for bad debts (1-4-2016)	4,000
Commission (Cr.)	12,000	Sundry debtors	40,000
Discount received	2,000	Buildings	80,000
Insurance premium paid	8,000		

Adjustments:

(a) Outstanding salaries amounted to ` 4,000
(b) Rent paid for 11 months
(c) Interest due but not received amounted to ` 2,000
(d) Prepaid insurance amounted to ` 2,000
(e) Depreciate buildings by 10%
(f) Further bad debts amounted to ` 3,000 and make a provision for bad debts @ 5% on sundry debtors
(g) Commission received in advance amounted to ` 2,000

Solution

Dr. Profit and Loss Account for the year ended 31st March, 2017 Cr.

Particulars	`	`	Particulars	`	`
To Rent	22,000		By Gross profit b/d	-	1,00,000
Add: Outstanding	2,000	24,000	By Commission	12,000	
(22,000x1/11)	10,000		Less: Received in	2,000	10,000
To Salaries	4,000		advance	6,000	2,000
Add: Outstanding	8,000	14,000	By Discount received	2,000	8,000
To Insurance premium	2,000		By Interest received		
Less: Prepaid insurance	1,900	6,000	Add: Accrued		
To Provision for bad and	2,000				
doubtful debts (closing)	3,000				
Add: Bad debts	6,900				
Add: Further bad debts					
	4,000				
Less: Opening provision for					
bad and doubtful debts		2,900			
To Depreciation on building		8,000			
(80,000x10%)					
To Net profit (transferred to					
capital A/c)		**65,100**			
		1,20,000			1,20,000